6.3 Foreign Aid and Remittances

Video: Foreign Aid and Remittance (Crash Course Economics)

What Is Foreign Aid?

About _____ of the U.S. budget goes to foreign aid, but in one survey the average American guessed _____.

_____ is the transfer of money, stuff, or services from a country or international organization to help another country and its people.

The U.S. gives the most total aid, but as a percentage of gross national income, the most generous nation is _____.

History of Foreign Aid

Institution	Founded	Original Job
	1944	Help Europe rebuild
	1945	Maintain peace and security
IMF	1945	Oversee the international _____

The _____ (1947) gave $13 billion to help restore production in Europe, expand trade, and keep communism from spreading. Countries that took the aid saw their GNPs jump.

During the _____, both sides used aid as a political tool. Afterward, aid shifted toward more humanitarian and economic aims.

Who Gets Aid, and Does It Work?

Donor countries are more likely to send aid to former _____ or strategic partners, and to countries they _____ with.

Aid can go wrong when donors do not coordinate, when the recipient country is not involved, or when leaders are _____.

Economists are _____ on whether aid encourages long-term economic growth: some say it does not, some say it helps where good policies are in place, and some say it helps growth in general.

Food aid can lower local food prices and hurt local _____.

Aid has been a positive force in _____, nearly eradicating the Guinea Worm and reducing malaria and HIV.

Remittances

_____ are the money that migrants and immigrants send to their home country. In 2013, they were more than three times the size of government foreign aid.

The World Bank says remittances can lead to less poverty and more health and education spending. Other economists warn they can create a _____ on outside money.

Nonprofits and Charities

_____ get much of their support from the general public and the government. _____ are controlled by a small group and get most of their support from a few donors.

Before giving to any charity, do your _____ to make sure it uses donations the way it says it will.

Think About It

If you wanted to help people after a disaster in another country, how would you decide which organization to give to? _____